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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

AUSTRIA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JULY 1969

BASIC STATISTICS OF AUSTRIA

THE LAND

Area (thousand km²)	84
Agricultural area (thousand km²)	40
Exploited forest area (thousand km²)	32
Major cities, March 1961 (thousands of inhabitants):	
Vienna	1 627
Graz	237
Linz	196
Salzburg	108
Innsbruck	101

THE PEOPLE

Population 1967	7 322 821
per km²	87
Net natural increase in population, annual average 1965-1967	34 918
per 1 000 inhabitants	4.8
Net immigration, annual average 1965-1967	882
Total employment[1], monthly average 1968	2 339 300
in industry	573 200

PRODUCTION

Gross national product, 1968 (Sch. billion)	293
per head (US $)	1 520
Gross fixed investment, average 1966-68	
per cent of GNP	25
per head (US $)	360
Industrial origin of GNP at market prices, 1967 (per cent):	
Agriculture	7
Industry	39
Construction	10
Services	44
Home food production 1966 (per cent of total food availability)	80

THE GOVERNMENT

Public comsumption, 1967 (per cent of GNP)	15
General Government current revenue, 1967 (per cent of GNP)	35
Federal Government debt, end 1967 (per cent of Federal Government revenue)	53
Composition of Federal Parliament May 1966:	
Austrian People's Party	85
Socialist Party	74
Freedom Party	6
Last election: March 1966	
Next election: 1970	

LIVING STANDARDS

Calories per head, per day (1966-1967)	2 950
Weekly gross earnings of industrial workers in Vienna, 1968 (Sch.)	910
Food expenditure in 1965 in per cent of total expenditure in worker household	39
Number of passenger cars in use, end 1967 (per 1 000 inhabitants)	130
Number of telephones, end 1967 (per 1 000 inhabitants)	160
Number of radio sets, end 1967 (per 1 000 inhabitants)	300
Number of television sets, end 1967 (per 1 000 inhabitants)	140

FOREIGN TRADE

Exports:	
Exports of goods and services 1966-1968 (per cent of GNP)	26
Exports, 1968 (per cent of total merchandise exports):	
Food, tobacco, beverages	4
Raw materials and energy	13
Chemicals	7
Machinery and transport equipment	21
Other finished and semi-manufactured products	55
Imports:	
Imports of goods and services 1966-1968 per cent of GNP) average	28
Imports, 1968 (per cent of total merchandise imports):	
Food, tobacco, beverages	11
Raw materials and energy	16
Chemicals	11
Machinery and transport equipment	29
Other finished and semi-manufactured products	33

THE CURRENCY

Monetary unit: Schilling.

Currency units per US dollar: 26.

[1] Wage and salary earners.

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AUSTRIA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed :

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy ;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development ;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are : Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The annual review of Austria by the OECD Economic and Development Review Committee took place on 23th July 1969. The present Survey has been updated subsequently.

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INTRODUCTION

After the slowdown in 1967, the growth of output accelerated strongly in 1968 and into 1969. In the first half of 1968 the expansion was led by a sharp recovery of exports, and policy measures exerted some stimulative impact. In the second half fixed investment, which had been stagnating or falling for a long period, showed signs of recovery. Business surveys suggest that capacity utilisation rates in industry have increased, and working hours have lengthened. But the number of employed has reacted only slowly to the upturn and unemployment has remained relatively high. In early 1969, there was therefore still a certain margin of slack in terms of labour in the economy. In 1968 and the first part of 1969 prices were stable, wage increases were lower than usual, and costs per unit of manufacturing output, which had risen strongly during the mid-1960's, fell. A strong advance in commodity exports and income from tourism produced a further reduction in the current balance of payments deficit.

The rise in activity should remain strong in the months ahead, with output growing by 5-6 per cent from 1968 to 1969, led by business fixed investment and exports, and with private consumption picking up in the course of the year in response to higher earnings. With output rising faster than capacity, the slack in the economy should be reduced. But with exports likely to increase rapidly, the current balance of payments deficit may remain near the 1968 level.

I RECENT TRENDS

Recovery of Demand

In Austria, as in other countries with large foreign trade, recent cyclical developments have been heavily influenced by the movement of exports (Table 1 and Diagram 1). The growth of exports has fluctuated strongly, with an important direct impact on activity. And there have been indirect (multiplier) effects—on private consumption via changes in employ-

ment and personal incomes, and on the propensity to invest because of effects on capacity utilisation, profits and the general business climate.

Table 1 **Percentage Rates of Change[1] of GNP and its Components**
1954 prices

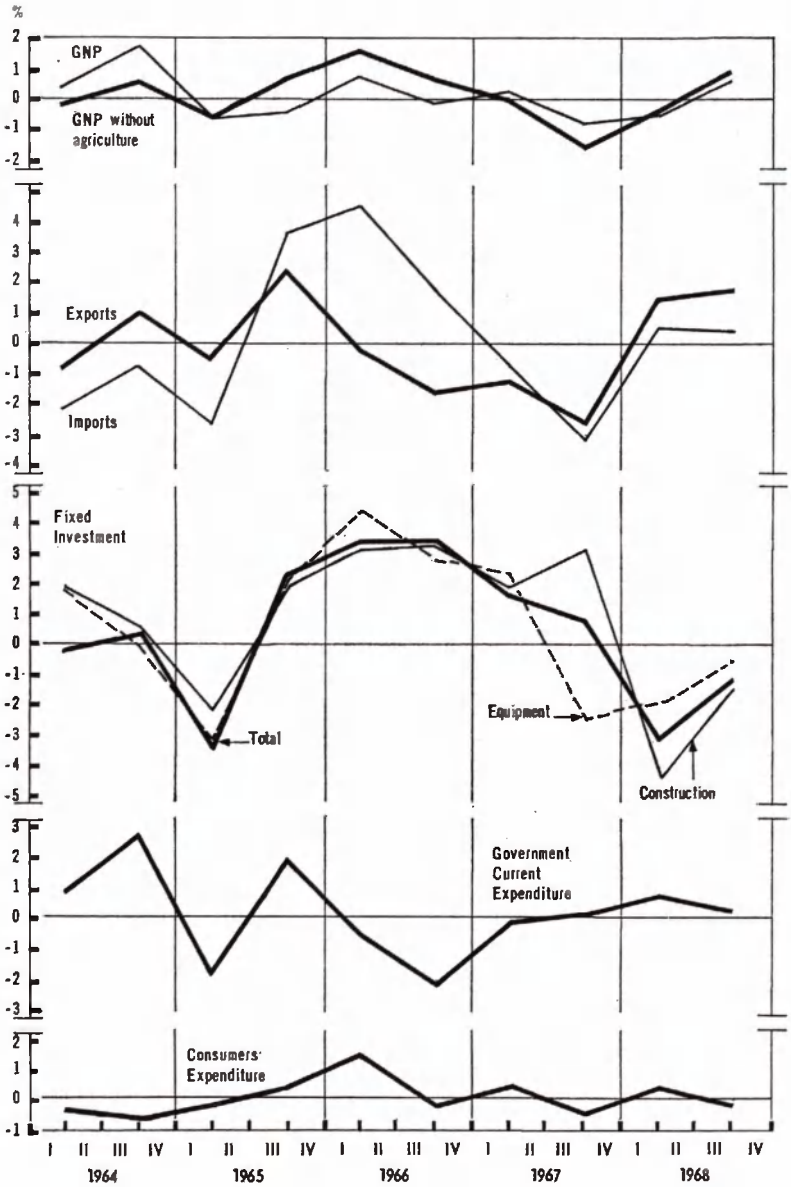
	1967 Year	1968 Year	1967 1st h.	1967 2nd h.	1968 1st h.	1968 2nd h.
Consumers' Expenditure	3.2	3.6	5.1	1.8	5.1	2.6
Government Current Expenditure	4.5	3.5	7.1	4.2	4.7	2.8
Gross Fixed Investment	—	—1.2	0.4	—2.4	—5.9	11.1
Final Domestic Demand	2.5	2.4	4.0	1.0	2.2	4.7
(Change in stocks)*	—0.8	1.4	—2.2	—	1.6	2.4
Total Domestic Demand	1.6	3.8	1.6	1.0	3.8	6.9
Exports	5.7	10.0	7.3	3.6	15.1	6.7
Imports	1.1	8.1	1.4	0.6	13.8	5.5
(Change in foreign balance)*	1.3	0.2	1.7	1.0	—0.2	0.2
GNP	3.1	4.1	3.4	2.0	4.0	6.7
(GNP without agriculture)	1.7	4.6	2.2	0.2	5.9	6.3

1 Annual rates of change on previous period, seasonally adjusted by the Secretariat.
* As a percentage of GNP in previous period at annual rates.
Source : Austrian Institute for Economic Research, OECD Secretariat.

In the second half of 1967, the volume of exports of goods and services rose at a seasonally adjusted annual rate of only about 3 ½ per cent, and was well below its long-term trend. Exports to Germany, Austria's main trading partner, had not yet recovered. The temporarily weak trend in exports and the recession in Germany had adverse effects on the business climate in Austria so that the volume of gross fixed asset formation fell. With employment falling, the rise in private consumption was small, and the growth of non-agricultural output came to a standstill.

In the first half of 1968, non-agricultural output recovered rapidly, rising at a seasonally adjusted annual rate of about 6 per cent. The growth in the volume of exports at a seasonally adjusted annual rate of around 15 per cent—constituted the main dynamic element. Exports may have produced the major part of the GNP increase during this period. German import demand recovered sharply and exports to EFTA countries, notably the United Kingdom, received continued stimulus from the removal of tariffs on intra-EFTA trade and the continued upsurge in UK imports.

Diagram 1 **Cyclical Development of GNP and its Main Components[1]**



1 The graphs show deviations of half-yearly seasonally adjusted GNP volume figures from ar OECD estimate of trend. The GNP figures used were submitted by the Austrian Institute for Economic Research.

Source: OECD-Austrian Institute for Economic Research.

Germany and the United Kingdom accounted for 70 per cent of the increase in Austria's commodity exports in the first half of 1968 year on year.

Policy factors also contributed to the upswing in activity. A co ntingency budget of Sch. 2.4 billion (0.8 per cent of GNP)—aimed explicitly at ensuring an immediate and maximum effect on domestic activity—was voted late in 1967. Half of this was spent in March 1968. Moreover, the personal income tax had been cut in October 1967, and children's allowances were considerably increased from the beginning of 1968. Although the stimulative effect of these measures was to some extent offset by increases in the general turnover tax and import equalisation taxes, private consumption rose much faster than earlier, helped by the faster growth of wages and salaries.

The recovery of activity was also influenced by a strong increase in stockbuilding. Fixed investment, however, continued to decline. Construction activity fell sharply reflecting, inter alia, delays in the allocation of public funds due to the introduction of administrative reforms in the granting of state aid for housebuilding. Business fixed investment demand, usually lagging behind the cyclical movement of aggregate demand, remained weak.

In the second half of 1968, exports continued to grow, although at a lower rate than earlier, and fixed investment showed signs of recovery. There was a marked increase in residential construction from the artificially depressed level in the first half, and business fixed investment began to revive. Stockbuilding remained a major dynamic factor. With wages and salaries increasing less rapidly than in the first half of the year, and purchase taxes increased in September, the rise in private consumption slowed down. Nevertheless, the advance in non-agricultural activity remained strong.

Available indicators suggest that activity continued to grow in the first half of the present year. The rise in exports has been very large and fixed investment appears to have continued to recover. Industrial production was buoyant. The movement of retail sales points to a further rise in private consumption.

Production and Employment

The faster growth of output in 1968 reflected the recovery of industrial production (excluding construction) and the strong advance of output in most service sectors. Building activity fell and agricultural output remained unchanged at the high 1967 level.

Table 2 **Production by sector**
Bill. Sch. 1954 prices

	% of GNP 1968[1]	% change 1966/1967	% change 1967/1968
Industry	36.5	+0.7	+6.5
Construction	10.1	+1.5	—3.0
Public utilities	2.8	+2.8	+6.0
Transport	6.2	+0.9	+2.6
Trade	13.7	+2.4	+4.2
Public services	11.0	+3.5	+3.5
Other services	12.7	+4.6	+5.2
Agriculture and forestry	7.1	+16.8	0.0
	100.0	+3.1	+4.1

1 Current prices.
Source : Austrian Institute for Economic Research.

The movement of the seasonally adjusted index of industrial production suggests that the recovery of activity was strong during the greater part of 1968. There was, however, a pause in the fourth quarter, resulting mainly from a prolonged Christmas break in certain industries. Production recovered sharply in the first quarter of 1969. Between the end of 1966 and mid-1968, industrial production was below its long-term trend, but by the early months of 1969 output was well above trend level, pointing to a strong increase in capacity utilisation rates (Diagram 2). This impression is confirmed by the fact that in the autumn of 1968 48 per cent of all firms covered by sample surveys reported full capacity utilisation, against only 35 per cent a year earlier. By April, the proportion had risen to 59 per cent, the highest rate since mid-1964.

Table 3 **Industrial Production**

1967	(Seasonally Adjusted 1963 = 100) 1968				1969
	I	II	III	IV	I
117.3	119.7	124.7	127.2	125.5	131.3

But there would still seem to be some employable reserve in the labour market. On average total employment in 1968 was 0.8 per cent lower than in the preceding year. The number of foreign workers, which is very sensitive to the state of the labour market, declined by 6 per cent due to

stagnation in the construction industry. There were large differences between sectors of the economy. In the services sectors (private and public) employment continued to grow (by 1 to 1 ½ per cent) but most other industries —notably construction, agriculture and forestry—registered relatively big declines. In manufacturing employment fell by 1.7 per cent, affecting in particular mining, textiles, iron and steel, and stone and earthenware. This reflected structural as well as conjunctural factors (see section on structural problems). Despite a strong recovery in output, the number of employed (seasonally adjusted) remained practically unchanged during most of 1968 (see Diagram 2). But there were clear signs of stronger demand for labour towards the end of the year; by October short-time working had virtually disappeared and working hours per employee in the fourth quarter of 1968 were 1 ½ per cent above the level of a year earlier.

Despite the fall in employment of about 20 000 persons in 1968, unemployment rose by only a little more than 6 000. Continuing the trend in the 1960's, the population of working age declined by a further 12 000 persons, and the labour force (employed plus registered unemployed persons) fell by 0.5 per cent. The increase in unemployment affected almost all trades, but was particularly marked in building and construction. On a seasonally adjusted basis, unemployment remained relatively high (almost 3 per cent[1] of the labour force) throughout the year, but has shown some tendency to decline in 1969. But the number of vacancies began to tend upwards during 1968, and this tendency has continued in the early months of 1969.

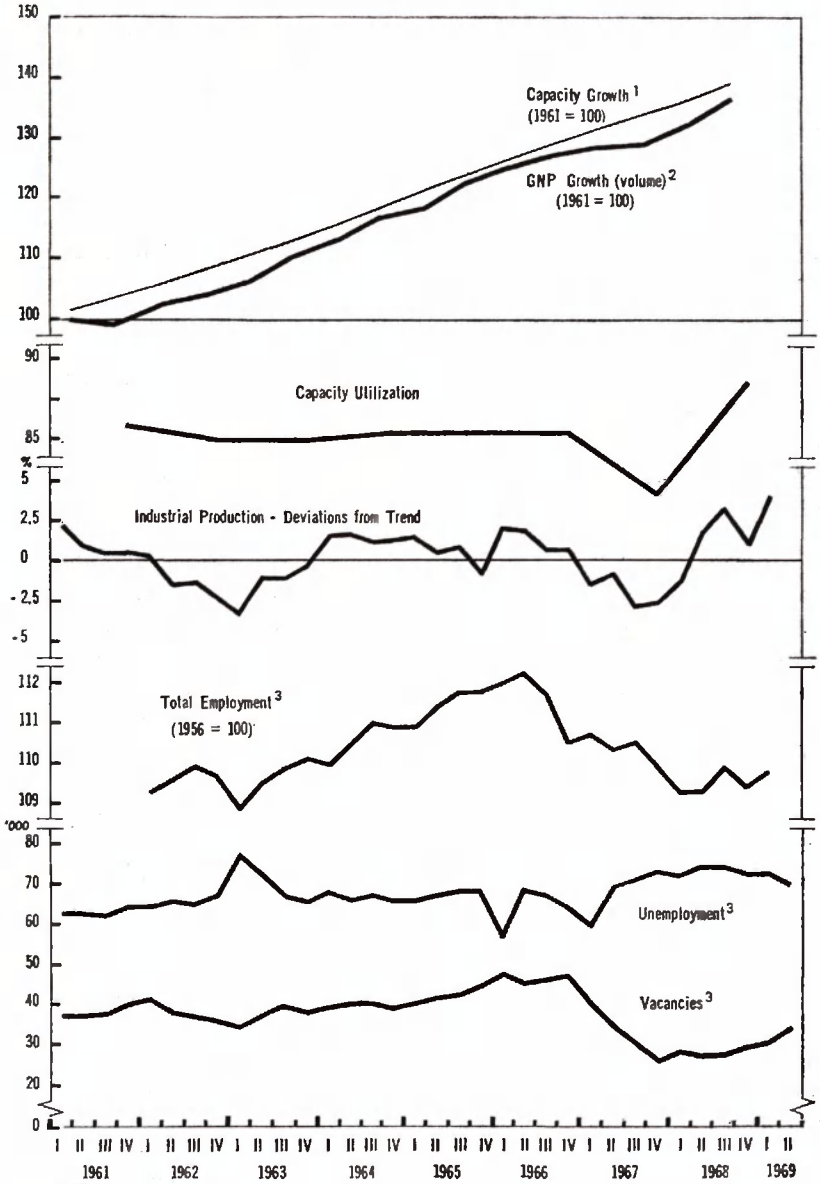
Productivity increased sharply in 1968. In manufacturing the rate of increase (9 per cent) was the highest achieved in recent years. The strong productivity gain was partly due to the absorption of some slack, and it may have been aided by the fact that business fixed investment in recent years has been undertaken primarily with the view to modernising capital equipment, rather than extending production capacity. Particularly strong improvements were achieved in the paper, iron, steel and chemical industries.

Table 4 **Production, Employment and Productivity in Manufacturing Industry**

	1963	1964	1965	1966	1967	1968
Production	+4.2	+7.8	+3.7	+4.2	0.0	+7.2
Employment	—1.4	—0.1	+0.1	—0.8	—3.3	—1.7
Productivity	+5.7	+8.0	+3.6	+5.1	+3.5	+9.0

1 This figure must be interpreted with care. The Austrian classification does not correspond to the usual international standards and tends to overstate the number of unemployed.

Diagram 2 **Production, Capacity and Employment**



1 Secretariat estimate.
2 Excluding agriculture.
3 Seasonally adjusted.

Source: OECD-Austrian Institute for Economic Research.

Wages, Prices and Incomes

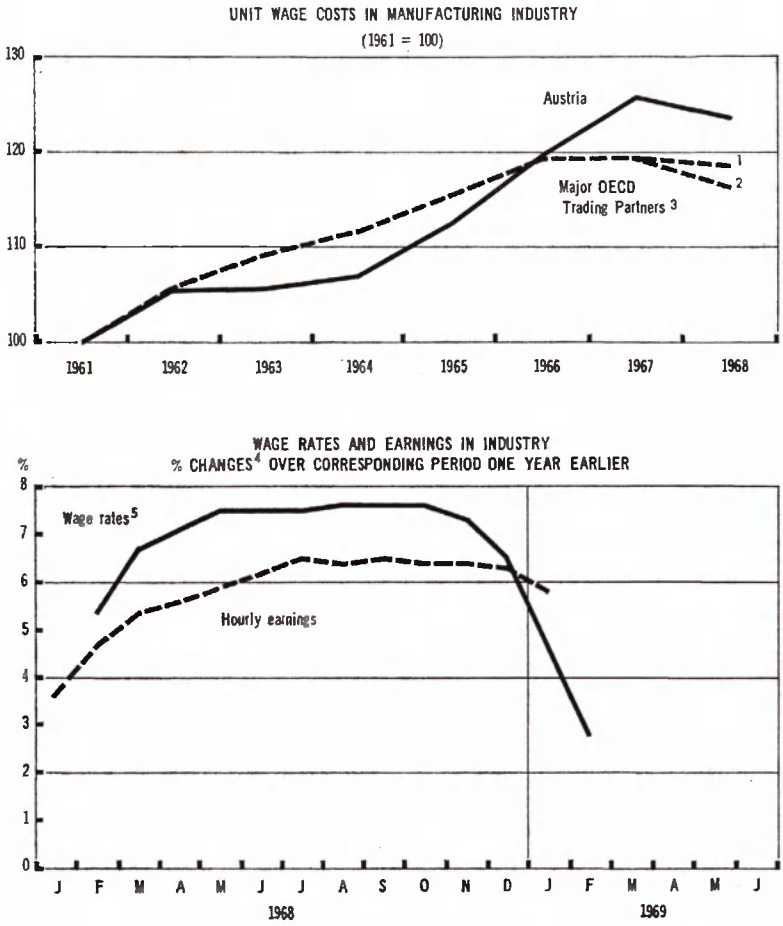
Two important factors had a moderating influence on the growth of wages in 1968. The first was the relatively low level of economic activity in 1967 and early 1968 which caused the labour market to weaken. The second was the influence of a deal concluded between the Government and the trade unions under which income tax was reduced as a quid pro quo for restraint in wage claims. The index of gross wage rates per month in industry rose by 6.6 per cent between 1967 and 1968, more than one percentage point below the rise recorded in 1967, and less than in any year since the recession in 1958/59. Wage drift did not become positive until the end of the year in spite of some increase in overtime working. Hourly earnings in manufacturing industry rose rather less than the wage rate index. With a strong advance in productivity, labour costs per unit of output fell (2 ½ per cent) for the first time since 1959. This was about the same reduction as that achieved in Western Germany in 1968, and it represented a gain in competitiveness compared with other non-devaluing industrialised countries.

Total wage and salary income also rose less than in 1967 (6.1 per cent against 8.1 per cent). Nevertheless, the share of wages and salaries in total income rose because of the fall in agricultural income; in other sectors non-wage income maintained its share in the total. Household disposable income grew by 7 per cent, more quickly than wages and salaries as a result of a reduction in personal taxation from 1st October 1967 and a considerable increase in children's allowances as from the beginning of 1968.

Prices have remained remarkably stable. The GNP deflator rose by 1.5 per cent from 1967 to 1968 against 3.3 per cent in the previous year. Consumer prices were up somewhat more, about 3 per cent, but this was due to a large extent to higher indirect taxation and a secular rise in rents and in prices for services. The stability of prices has continued into 1969.

Table 5 shows the main changes which took place in retail prices during 1968. The increase in the overall index was 3 per cent, but 0.5 percentage points of this were due to increases in indirect taxes on alcohol and motor-cars introduced in September. A further 0.5 percentage points were due to the increase in the turnover tax adopted in February (not shown in Table 5). Even the modest two percentage points of increase remaining cannot, however, be attributed entirely to conjunctural factors, since the increase in rents resulted to a large extent from some liberalisation of the housing market. Overall, then, "conjunctural factors," including secular increases in the prices of services, appear to have contributed 1.5-2.0 per cent to the increase in retail prices.

Diagram 3 **Wage Developments in Industry**



1 Adjusted for German quasi-revaluation.
2 Not adjusted for German quasi-revaluation.
3 Countries weighted according to importance to Austrian trade.
4 3-month moving averages.
5 Comparable pre-1967 data not available.

Source: OECD-Austrian Institute for Economic Research.

Balance of Payments

The balance of payments improved in 1968, continuing the better trend which had begun in 1967. The improvement was influenced by the fact

Table 5 **Retail Price Changes between December 1967 and December 1968**

	Contribution to rise in total index	
	Percentage points	per cent
Goods and services with officially regulated prices	0.3	10
Goods	0.1	3
Services	0.6	20
Goods and services with non-regulated prices	(0.25)	(8)
Food and drink (alcohol tax increase)	0.9	30
Other goods (car tax increase)	(0.25)	(8)
Services	0.8	27
Rents	0.3	10
	3.0	100

Source : Austrian Institute for Economic Research, OECD Estimates.

that economic activity in important foreign markets expanded fast, whereas domestic demand rose only moderately. The deficit on current account was reduced further, mostly reflecting an improvement in the tourist balance. The long-term capital account again showed a large net inflow which more than offset the current account deficit, so that the basic balance remained in large surplus. But short-term capital transactions, roughly in balance in 1967, produced an important outflow which was only partly offset by an inflow under errors and omissions. This meant that the increase in official reserves, large in 1967, was relatively moderate.

The value of commodity imports, virtually unchanged in 1967, rose by some 8 per cent in 1968. Imports of food, animal and vegetable oils and fats fell and purchases of investment goods remained at the 1967 level. The large increase in imports of basic materials and semi-finished goods, reflected the upturn in industrial output and stronger stock accumulation. Imports of consumer goods rose by some 11 per cent as a result of higher consumer demand. The geographical pattern of imports was influenced by the continuing effect of the removal of intra-EFTA tariffs; imports from EFTA countries rose by 9 per cent against a 6 per cent increase in imports from EEC countries.

With the strong expansion of world trade in 1968, Austria was able to increase her commodity exports by 10 per cent with most commodity groups (except foodstuffs, drink and tobacco) sharing in the advance. About $^1/_3$ of the rise can be attributed to the sharp recovery in German imports. (23.4 per cent of Austrian exports went to Germany in 1968.) Another important factor was continued stimulus from the final removal of tariffs on intra-EFTA trade. EFTA countries accounted for 23.7 per

cent of Austria's exports in 1968 against 22.5 per cent in 1967. The proportion going to EEC countries fell slightly from 40.7 per cent to 40.3 per cent, as did the proportion taken by Eastern Europe, which fell from 16.2 per cent to 14.8 per cent.

After a decline in 1967, the surplus on services was roughly back to its 1966 level. Strongly influenced by the recovery in foreign travel by Germans, Austrian tourist receipts rose sharply. The improvement on account of tourism was partly offset by a growing deficit on investment income (net), mostly reflecting the heavy increase in the public sector's net indebtedness abroad during the last two years, and the rise in interest rates abroad.

The inflow of long-term capital, although lower than in 1967, remained high last year. There was another sharp increase in the net inflow on public account, mainly due to the strong rise in the borrowing requirements of the Federal Government. The net inflow on private account was small in 1968: net private long-term borrowing abroad fell somewhat and there was a doubling of the net outflow on portfolio account to $65 million, mostly due to a sharp increase in net purchases of foreign equities; moreover the banks improved their net foreign long-term position significantly.

Table 6 **The Balance of Payments**
$ million

	1966	1967	1968
Trade balance	—671	—545	—539
Exports	1 698	1 821	1 995
Imports	2 368	2 366	2 534
Services, net	425	384	415
Foreign travel	424	396	430
Receipts	595	615	687
Expenditure	—171	—219	—257
Investment income, net	—23	—34	—56
Other services, net	24	22	42
Transfers, net	58	50	40
Current balance	—188	—111	—84
Long-term capital, net	36	265	187
Official, net	—34	117	179
Private, net	70	148	7
Basic balance	—152	154	103
Non-monetary short-term capital	26	21	—20
Errors and omissions	21	4	34
Balance on non-monetary transactions	—105	179	117
Private monetary institutions short-term capital	124	—23	—84
Balance on official settlements (+ = increase)	19	156	33
Gold	—	—	13
IMF-position	31	14	43
Other	—12	142	—23

Source: Österreichische Nationalbank.
NOTE Differences due to rounding.

Table 7 **Foreign Trade in 1967 and 1968**
Mill. Sch. Monthly Averages

	Imports			Exports		
	1967	1968	% ±	1967	1968	% ±
Food, etc.	512	490	—4.3	221	196	—11.3
Raw materials	838	956	—14.1	546	595	+9.0
Semi-manufactures	964	1 078	+11.8	926	1 014	+9.5
Investment goods	936	936	—	808	883	+9.3
Consumer goods	1 754	1 950	+11.2	1 417	1 620	+14.3
Total[1]	5 004	5 408	+8.1	3 919	4 309	+10.0
By Country Groups						
EFTA	914	995	+8.9	881	1 021	+15.9
of which UK	301	333	+10.6	218	273	+25.2
EEC	2 929	3 103	+5.9	1 595	1 737	+8.9
of which Germany	2 085	2 240	+7.4	870	1 008	+15.9
Eastern Europe	453	528	+16.6	636	638	+0.3
Other	708	782	+10.5	807	913	+13.1
	5 004	5 408	+8.1	3 919	4 309	+10.0

1 Figures do not necessarily add exactly to totals because of rounding.
Source : Austrian Foreign Trade Statistics.

The sizeable surplus on the balance of non-monetary transactions was largely offset by an outflow of short-term banking funds reflecting not only the relative attractiveness of foreign money markets but also easy monetary conditions in Austria. The balance on official settlements showed only a small surplus ($33 million). The official gold and foreign exchange reserves remained at a very comfortable level, corresponding to 7-8 months commodity imports at the end of 1968.

The tendency for the current deficit to improve has continued during the first half of 1969. Commodity exports and receipts from tourism grew very rapidly and the trade deficit was considerably reduced. Despite a smaller long-term capital inflow the surplus on basic balance may not have changed much. But the outflow on short-term capital account may have been quite important, partly as a result of uncertainties about existing exchange parities, and official exchange reserves may have been somewhat reduced.

II ECONOMIC POLICY

A somewhat less expansionary demand management policy was adopted in the course of 1968 as the economy moved to higher levels of capacity utilisation. The timing of the fiscal measures, although influenced by problems related to the financing of the Federal budget deficit, turned out to be reasonably satisfactory. No major steps were taken in the field of monetary policy. But the Central Bank allowed "market forces" to exert a mildly expansionary influence on bank liquidity.

Budget Policy

The Federal budget adopted at the beginning of 1968 continued the expansionary budget policy which the Government had introduced to counteract the slowdown of economic activity in 1967. A reduction of personal taxation planned for 1968, estimated to correspond to more than 1 per cent of private consumption, had been brought forward to 1st October 1967. Children's allowances were raised considerably from the beginning of 1968. Net current savings remained almost unchanged from the 1967 level, which was much lower than the figure for the preceding year. The voted Budget deficit was exceptionally high, Schilling 7.0 billion against 3.7 billion in 1967. Moreover, in order to stimulate the recovery of activity the authorities, in addition to the ordinary budget, adopted a contingency budget of Schilling 2.4 billion or 0.8 per cent of GNP, mainly consisting of investment expenditure notably in the construction sector. Half the contingency budget was made available at the beginning of March, 1968. Orders were placed quickly for projects which were likely to have an immediate effect on business activity, particularly in depressed sectors.

In the course of 1968, when the revival of domestic activity became apparent, budget policy was changed towards restraint. The second half of the contingency budget was not put into effect. To strengthen Federal finances, the general turnover tax and import equalisation taxes had been increased in February. This entailed a rise in the cost of living index of about ½ per cent and partly offset the effect of the reduction in personal taxation effected in October 1967. Faced with the prospect that the budget cash deficit might rise to Schilling 16 billion in 1969, the authorities in September 1968 introduced a special 10 per cent purchase tax on alcoholic beverages and automobiles, estimated to yield Sch. 1.3 billion in a full year. A temporary surcharge of 10 per cent on taxes on personal income, reducing disposable income by more than 1 per cent, became effective from 1st January 1969 and will remain in force until the end of 1970. The property tax was raised by 0.25 per cent to 0.75 per cent. The yield of the fiscal measures

introduced in September corresponds to some 2 per cent of private consumption. Despite the tax increases introduced in the course of the year, the Federal budget seems to have exerted a stimulative impact on demand in 1968, but a smaller one than in 1967 (Table 8).

The 1969 budget is likely to have a somewhat restrictive demand impact. Given the tax increases adopted last September, tax revenue should rise relatively rapidly whereas expenditure may increase less than last year. The internally effective deficit will amount to about 1.7 billion Schilling against 4 billion in 1968.

Limited statutory provisions for refunding existing Government debt on the domestic capital market and the narrowness of this market remained an obstacle to a flexible debt management policy in 1968 and 1969. In view of the desirability of an easy monetary policy, the Government resorted

Table 8 **The Federal Budget**

ADMINISTRATIVE BASIS

Sch. billion

	1966 outturn	1967 outturn	1968 estimated outturn	1969 voted
Revenue excl. borrowing	53.0	55.0	60.4	66.8
Expenditure	56.7	62.8	68.8	74.8
of which debt repayment	2.7	2.7	3.2	5.4
Overall deficit	3.7	7.8	8.4	8.0
Deficit excluding transactions not directly influencing demand	0.9	4.2	4.0	1.7

NATIONAL ACCOUNTS BASIS

Sch. bill. % change on previous year

	1966	1967	1968	1969
Current revenue	51.1	2.0	9.8	11.0
Current expenditure:				
Goods and services	17.0	12.4	8.4	9.7
Transfers	24.7	6.5	9.9	7.6
Gross fixed asset formation	5.1	17.6	8.5*	—*
Capital transfers	2.3	..	13.0*	—*
Estimated impact of[1] Budget changes on domestic demand (% of GNP)	—½	1½	¼	—½

1 The above figures should be taken as a trial illustration of the direction and rough order of magnitude of the impact on domestic demand of changes in taxation and Federal spending. Changes from year to year in the composition of Federal spending (and the underlying marginal import ratios, saving rates etc.) may produce variations in the multiplier.

* Secretariat estimate.

Source : Bundesfinanzgesetz 1969. Annex Table E

largely to foreign borrowing, which covered more than half the overall deficit of about Schilling 8 billion in 1968. The domestic capital market is small and present legislation rigidly limits the Government's discretionary powers to sell short-term debt (treasury bills). Moreover, government borrowing from the Central Bank has been limited to Schilling 1 billion since 1955. A draft amendment of the Central Bank law, to be passed by Parliament in 1969, proposes to set the ceiling for Government borrowing at 5 per cent of gross Federal tax revenue, which at present would mean a ceiling of about Schilling 3 billion. In 1969, the Federal borrowing requirement may be about the same as last year, and the Government intends to cover most of it (approximately three-quarters) from domestic sources. This is considerably more it than has been able to raise domestically in previous years.

Monetary Policy

No monetary policy measures were taken in 1968 or early 1969. During the whole of 1968 domestic factors continued to exert a restrictive influence on the volume of money. The somewhat stronger rise in the money supply was due to a further increase in the net foreign positions of financial institutions. Bank liquidity remained at a high level. The expansion of bank credit was sluggish in the first half of 1968, partly reflecting smaller financial requirements in the business sector due to the low level of fixed investment and rising profits. The revival of credit demand in the second half was mainly a substitution of foreign by domestic credit, promoted by the uncertainties about existing foreign exchange parities. As the upswing of economic activity continued and business investment recovered, bank lending accelerated strongly from the beginning of 1969. However, between mid-April and mid-May, speculation on changes in currency parities aggravated the reduction of bank liquidity which had begun in the first quarter. In order to avoid an undesirable effect on bank lending, the Central Bank reduced minimum reserve requirements by some Sh. 1.8 Billion at the end of May.

Although the Federal Government endeavoured to cover most of its borrowing requirement abroad, considerable strains on the bond market developed during the first half of 1968, which caused the effective yield on bonds in circulation to rise to the record level of more than 7½ per cent. In the second half, with the volume of new issues considerably reduced, the pressure on the bond market eased somewhat and the average yield on bonds in circulation dropped by about ¼ of a percentage point. In the year as a whole net issue activity shrank considerably and was roughly back to the 1962 level.

Table 9 Monetary Indicators
Changes in Sh. billion

	1966	1967	1968	1st qtr. 1968	1st qtr. 1969
A Main factors influencing total money supply					
1 Bank credit to domestic non-banks	17.4	11.8	14.1	2.1	5.4
2 Domestic formation of monetary capital	13.7	13.0	14.4	3.8	5.7
of which : savings deposits	(10.0)	(9.1)	(10.5)	(2.3)	(3.7)
3 Excess of total bank lending over monetary capital formation (1—2)	3.7	—1.2	—0.2	—1.7	—0.3
4 Credit institutions' net foreign position	—1.4	5.0	4.7	1.6	2.0
of which : Austrian National Bank	(0.5)	(4.1)	(0.9)	(—1.9)	(—1.0)
5 Other factors	0.1	—0.2	—0.5	—0.8	—1.0
A Change in total money supply (3+4+5)	2.4	3.6	4.0	—0.9	0.8
B Factors affecting bank liquidity					
(*a*) Note and coin in circulation	—2.2	—1.5	—1.1	1.7	1.1
(*b*) Non-banks, net balances with Central Bank and other factors	0.7	0.1	0.4	—2.0	—2.6
(*c*) Central Banks' net foreign position and credit institution short-term foreign assets	—	7.6	1.5	—1.2	—0.6[2]
Total "Market Factors"	—1.5	6.2	0.8	—1.5	—0.9[2]
(*d*) Changes related to minimum reserves [1]	1.9	—0.8	—0.6	0.4	—0.4
B Total bank liquidity	0.4	5.4	0.2	—1.1	—1.7[2]

1 Including open market operations (M-tranche).
2 Partly estimated.

NOTE Differences due to rounding.

Source : Österreichische Nationalbank.

The main factor behind the sharp fall in the volume of net bond issues was the strong reduction of the private sector's bond market subscriptions. This was mainly due to the abolition of certain tax privileges for company subscriptions from January 1st 1968, a smaller increase in incomes and uncertainties in connection with the gold crisis. Such subscriptions had substantially inflated the bond market participation rate of the private sector in 1967. The low level of bond purchases by the private sector may also have been influenced by the activities of foreign investment funds. There was a doubling in net purchases of foreign equities to some Sch. 0.8 billion, a figure which includes purchases of investment certificates. Moreover, institutional investors, traditionally of minor importance in the Austrian bond market (the social security scheme is an unfunded system and there is relatively little private insurance) do not appear to have added at all to their existing portfolios. Finally, the pressure in the bond market was substantially increased by large net foreign bond liquidations, amounting to about 20 per cent of total net bond issues. The banks seem to have maintained their net bond purchases roughly at the low level of the previous year (see Table 10).

Table 10 **New Bond Issues and Bond Purchases**

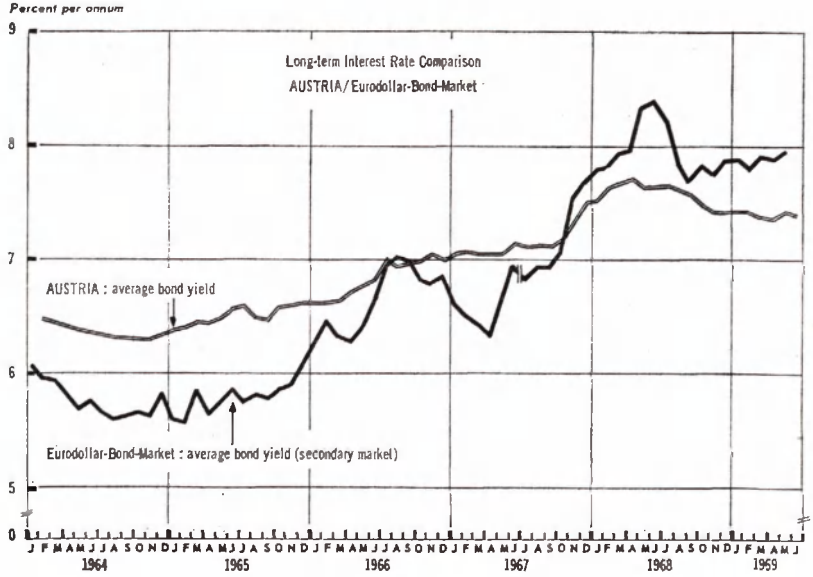
	1965	1966	1967	1968
Total gross issues	7.21	6.14	7.60	6.85
Banks	1.77	1.88	2.41	3.20
Federal government	2.30	1.50	2.00	1.22
Other public, including electric power companies	2.64	2.52	2.82	1.88
Private domestic	0.50	0.12	0.26	0.40
Foreign	—	0.12	0.11	0.15
Repayments	1.70	1.64	2.42	3.70
Total net issues	5.51	4.49	5.18	3.15
Purchased by[1]				
(*a*) Banking system	2.05	1.82	1.36	1.38
(*b*) Social and private insurance	0.53	0.55	0.65	0.06
(*c*) Foreign sector	0.10	—0.15	—0.54	—0.62
(*d*) Other private[2]	2.83	2.27	3.71	2.33
Total net issues in per cent of GNP	2.3	1.7	1.9	1.1

1 Changes in holdings as reported in balance sheets.
2 Obtained by difference; including discrepancies due to valuation differences.
Sources: Österreichische Nationalbank and Österreichisches Institut für Wirtschaftsforschung.

Bond yields rose procyclically during the recession and remained at a post-war record level during 1968. While it is certainly true that this phenomenon was strongly influenced by developments abroad, notably in the Euro-Dollar market, the loose relationship between domestic bond purchases

and bank liquidity remains a particularly characteristic feature of the Austrian scene. Although bank liquidity increased sharply during 1967 and was maintained at a high level in 1968 the banks added much less to their bond portfolios than in 1965 and 1966, years of monetary stringency. The banks preferred instead to increase their short and long-term foreign assets by more than Sh. 5 Billion during 1967 and 1968. The great attractiveness of foreign money and capital markets was increased by the virtual non-existence of any efficient domestic money market and the absence of a well functioning secondary market for bonds. Greater discretionary power on the part of the Treasury to issue short-term government paper might be a first step to develop an Austrian money and capital market, which, at the same time might offer better possibilities for pursuing a more flexible debt-management policy. However, under the existing agreement between financial institutions regulating interest rates for bank and savings deposits, money market transactions with non-banks are subject to interest rate ceilings, which severely restrict the flexibility of short-term money market operations. Abolition of this agreement may contribute to improving the efficiency of the domestic money market.

Diagram 4 **Bond Yields**



Sources: Austrian bond yields: Österreichische Länderbank. Eurodollar-bond yields: Secretariat.

With a view to improving the money market and obtaining more flexibility in monetary policy the Government has proposed important amendments to the Central Bank law and the General Banking Law (Kreditwesengesetz). As mentioned above, it is proposed to raise the ceiling on government short-term borrowing in the Central Bank. The draft Central Bank law further envisages an extension of the existing minimum reserve regulations and greater scope for the Central Bank's open market policy which would have, inter alia, beneficial effects on the secondary market.

III STRUCTURAL PROBLEMS

Since the early 1960's structural problems have been prominent in discussion of the Austrian economy. Problems of economic structure in a relatively small economy such as Austria tend to be closely associated with the country's foreign trade position. In Austria's case imports and exports of goods and services correspond to between 25 and 30 per cent of GNP, and as in other industrialised countries, this share has been increasing in post-war years. Growth of exports is, then, an important determinant of Austria's overall economic growth. However, the expansion of exports has been limited during the 1960's by a variety of factors:

(*a*) A change in the commodity pattern of world import demand away from basic products, and towards more highly finished goods;

(*b*) The difficulty of developing exports to traditional markets following the setting up of the EEC;

(*c*) Financial constraints on the restructuring of the economy due to the narrowness of the domestic capital market and the over-generous allocation of public sector savings to traditional industrial branches;

(*d*) A static or declining working population with insufficient geographical and occupational labour mobility.

Some aspects of these problems are discussed in the following paragraphs.

Commodity Exports

At the centre of Austria's economic difficulties during the 1960's has been the problem of a disappointing growth of commodity exports. Table 11 shows the commodity pattern and growth of Austria's exports between 1962 and 1968, compared with those of the OECD area as a whole. The initial structural disadvantage of Austria lies in the fact that, in 1962, almost two-

thirds of her exports consisted of relatively slowly growing basic manufactures. In the OECD aggregate this commodity group accounted for only about one-third of total exports. Over the period under consideration, OECD exports of basic materials and products rose by only 64 per cent against an increase of 79 per cent in OECD exports overall. The adverse effect of this on Austria's exports was reinforced by the formation of the European Economic Community; with the progressive reduction of tariffs and other restrictions on intra-EEC trade, and the creation of a common external tariff on balance disadvantageous to Austria-traditionally important markets in the EEC have become progressively more difficult to develop or even hold. Moreover, because of relatively high transport costs due to their location, Austrian basic industries have found difficulty in developing alternative markets. Growth of Austria's exports of these commodities has been slow, therefore and their share in total exports declined from about 60 per cent in 1962 to 52 per cent in 1968.

Table 11 Commodity Pattern and Growth of Austrian and OECD Exports

Value 1962-1967

	Percentage distribution				Percent. growth	
	1962		1968		1962-68	
	Austria	OECD	Austria	OECD	Austria	OECD
Food and drink	5.0	14.6	4.7	11.9	46.8	46.4
Basic materials and products[1]	60.3	34.9	51.7	32.0	35.0	63.8
Iron and steel	16.5	6.2	12.2	5.7	16.1	65.4
Other crude materials	18.9	11.3	13.7	10.5	14.1	64.9
Mineral fuels	2.4	4.2	3.0	3.3	95.3	40.3
Other basic manufactures	22.5	13.2	22.9	12.5	60.0	69.6
More advanced products[1]	32.8	48.9	43.6	54.7	109.2	100.2
Machinery and equipment	17.8	22.3	18.7	22.5	65.7	80.3
Household machinery	0.8	1.1	1.7	1.4	250.5	131.7
Road motor vehicles	2.1	6.6	1.5	9.3	14.1	153.4
Aircraft, ships	0.3	3.5	1.0	3.9	485.3	101.1
Chemicals	3.0	8.1	6.3	9.2	228.4	103.6
Other manufactures	8.8	7.3	14.3	8.3	155.5	104.1
Other	1.9	1.6	0.0	1.4	—	54.7
Total	100.0	100.0	100.0	100.0	57.4	78.9

1 The classification is inevitably somewhat arbitrary but similar results would be produced with other obvious classifications (e.g. "slow growing" and "fast growing" exports).

Source : OECD.

On the other hand Austria was in 1962 comparatively "under-represented" in the faster growing commodity groups such as investment goods, equipment, and chemicals. It is important for Austria that exports of these goods grew more rapidly than the OECD average and that her export pattern is now closer to the OECD average. The development represents a

major structural adjustement; and the process of adaptation appears now to have passed its most painful stage.

Table 12 **Geographical Pattern and Growth of Austrian and OECD Exports**
Value 1962-1967

	Percentage Distribution				*Percentage growth*	
	1962		1968		1962-68	
	Austria	OECD	Austria	OECD	Austria	OECD
EEC	50.0	26.6	40.3	28.3	26.9	90.2
EFTA	15.2	17.3	22.8	15.8	137.1	63.0
Sino-Soviet	14.9	3.1	15.2	3.5	59.8	100.1
Other	19.9	53.0	21.7	52.4	71.5	77.2

Source : OECD.

The change in the composition of Austria's exports affected the geographical as well as the commodity pattern of trade (see Table 12). The contrast between the growth of Austria's exports to the EEC and that of her exports to EFTA is most striking. In the case of the EEC, Austria's exports grew at about one quarter of the rate of OECD combined, whereas her exports to EFTA grew at twice the rate of the OECD average. Not only was Austria in the early 1960's mainly exporting slow growing commodities with a high proportion of transport costs in relation to delivered prices, but her relative competitive position was made progressively more difficult in her traditional markets for these commodities. Hence, she was forced to try to penetrate new markets which were geographically more distant. The change in the geographical pattern of her exports was of course strongly influenced by the dismantling of barriers within EFTA.

Table 13 also shows that the adaptation to new market patterns has been relatively successful from the viewpoint of comparative export "performance". It can be seen that the worst period for performance was in 1960-63 when OECD exports to the world were growing 3.7 per cent more rapidly than those of Austria. In the 1964-66 period, Austria's export growth was still 2.5 per cent below that of the OECD, but in 1967-68 Austria's exports grew at roughly the overall OECD rate. This encouraging development resulted partly from a better performance in other non-OECD countries, which is of special interest in this context since it is not distorted by trade discrimination, and partly from a diminished weight of EEC and Sino-Soviet exports in the total in favour of EFTA, where Austria's performance has been consistently good. Over the two years 1967 and 1968, taken together, performance was roughly neutral in relation to other OECD countries, in spite of big losses of market shares in the EEC in both years.

It would appear, then, that Austria is now in a relatively better position for improving her export performance than she was at the beginning of the 1960's. The share of fast growing exports in her total exports is higher, as is the proportion of her exports going to markets in which she suffers no discrimination. The period of rapid loss of market shares appears already to have been passed.

Table 13 **Austrian Export Performance in Main Geographical Markets**
Per cent

	EEC	EFTA[1]	Other[2] OECD	Sino-Soviet	Other non-OECD	Total world
1960-63	—7.3	7.5	—6.3	—	—2.9	—3.7
1964-66	—4.5	6.0	—0.4	—7.4	—0.7	—2.5
1967-68	—5.7	10.7	1.3	—3.8	5.8	—0.2

1 Excluding Portugal.
2 Including Portugal.
Source: OECD.
NOTE "Export performance" is defined, for each of the broad areas shown above, as the difference (positive or negative) between the growth in Austria's exports to the area and the growth which would have taken place if Austria had exactly maintained its base year share in total OECD exports to the markets making up that area.

Allocation of Fixed Investment and Savings

Over the last decade total fixed investment has been fluctuating around a figure of one-quarter of GNP, a rather higher rate than the average for OECD countries. However, the volume of fixed investment in industry has been stagnant or falling for a long period. In 1968 the volume of industrial investment was below its 1959 level and the sharp increase expected by the authorities in 1969, would do no more than bring it back to the average for the 1960's. There has been little incentive to invest in the traditional basic industries where problems of profitability resulting from weak demand in general and loss of EEC markets in particular have been great. In mining, iron and steel, base metals, crude oil and coal, where state enterprise is predominant, investment has been declining strongly in the 1960's both in absolute terms and as a share of total industrial investment. Other industrial branches show increases but these do not compensate for the fall in the basic industries; the overall impression is stagnation or decline. Total investment has remained relatively high mainly because of a strong rise in fixed capital formation in the services sectors (tourism, public utilities, housing, and transport infrastructure).

Table 14 **Fixed Investment by Sector as a Percentage of GNP 1957-1967**
Current prices

	1957-59	1960-62	1963-65	1966-67
Agriculture and forestry	1.4	1.6	1.6	1.5
Mining and manufacturing	5.3	5.7	4.7	4.1
Of which :				
Basic industries[1]	1.7	1.6	0.9	0.8
Other	3.6	4.1	3.8	3.3
Construction	NA	NA	0.7	0.4
Public utilities	2.4	2.3	2.2	2.3
Transport and communications	3.5	3.7	3.9	4.0
Housing	4.2	4.4	4.7	4.8
Public Administration	1.7	2.0	2.3	2.5
Other services	NA	NA	4.7	6.4
Total fixed investment	22.1	24.3	25.0	25.7

1 Iron and steel, coal, oil (mainly crude oil).
Source : Austrian Institute for Economic Research.

It would be inappropriate in the present context to analyse in detail the factors which have contributed to the stagnation of industrial investment and the shift of its pattern. Recent developments must be judged against the exceptionally large investment undertaken in most industrial branches, particularly in basic industries, during the 1950's and which reached a peak in 1960/61. The stagnation and fall since then may partly be explained by the fact that some large projects have been completed. Uncertainties about Austria's adhesion to EEC may also have made business hesitant to engage in new projects and, more recently, the cyclical situation has not encouraged the widening of production capacity.

Lack of capital in an overall sense would not seem to explain the fall in industrial investment, given the relatively high level of domestic savings, and the large volume of foreign borrowing in recent years. There are related to the narrowness of the Austrian capital market, the inadequate provision of long-term problems funds by the banking system, the shortage of risk capital, and shrinking profits. The main problem, however, seems to be the allocation of savings. The high and growing share of public savings has tended to preserve the existing industrial structure, as a large proportion of available investment finance seems to have been allocated to the traditional industries (to a large extent nationalised). Even though the amount invested in these industries has been declining, it appears to have remained at a level which cannot be justified, ex post at least, by the return produced.

Table 15 **Sources of Savings** [1]

	Average 1957-1961		Average 1962-1965		Average 1966-1967	
	per cent of GNP	per cent of total	per cent of GNP	per cent of total	per cent of GNP	per cent of total
Gross savings						
Households	6.4	24.4	5.3	20.2	5.3	19.0
Enterprises[2]	14.0	54.2	14.5	55.2	14.3	50.8
Public sector	5.4	21.1	6.6	25.3	6.9	24.5
Total domestic sectors	25.8	99.7	26.4	100.7	26.5	94.3
Inflow (—: outflow) of real resources from (to) foreign countries	0.1	0.3	—0.2	—0.7	1.6	5.7
Total gross savings (= total gross physical investment)	25.9	100.0	26.2	100.0	28.1	100.0
Net savings						
Households	6.4	39.4	5.3	34.5	5.3	31.0
Enterprises[2]	4.9	30.8	4.4	28.6	4.2	24.1
Public sector [3]	4.7	29.4	5.8	38.2	6.1	35.5
Total domestic sectors	16.0	99.6	15.5	101.3	15.6	90.6
Inflow (—: outflow) of real resources from (to) foreign countries	0.1	0.4	—0.2	—1.3	1.6	9.4
Total net savings (= total net physical investment)	16.1	100.0	15.3	100.0	17.2	100.0

1 Current savings plus capital transfers received minus capital transfers paid.
2 Including nationalised industries and housing; including stocks.
3 Excluding nationalised industries; including stocks.
Source: OECD, National Accounts of OECD Countries.

During 1968 and 1969 new measures have been taken to increase the degree of adaptability of the Austrian economy[1]:

(*i*) The Labour Market Promotion Act, coming into force in January 1969, provides for financial assistance to workers for retraining, travel and resettlement and to firms for a better organisation of the production process;

(*ii*) The Act on the Financing of Development and Renewal Investment (January 1969) establishes a fund which will guarantee loans within a ceiling of Schilling 2.5 billion for investment in industry and tourism;

(*iii*) Among other measures to improve the financing of fixed investment, special funds have been made available for investment in agriculture, certain regions and in large individual industrial projects;

(*iv*) A public sector authority was set up in 1968, with the purpose of studying and co-ordinating structural improvement in nationalised industries;

(*v*) Resale price maintenance has been banned in certain sectors (household electrical appliances and detergents). If it proves beneficial, the ban may be extended to other sectors.

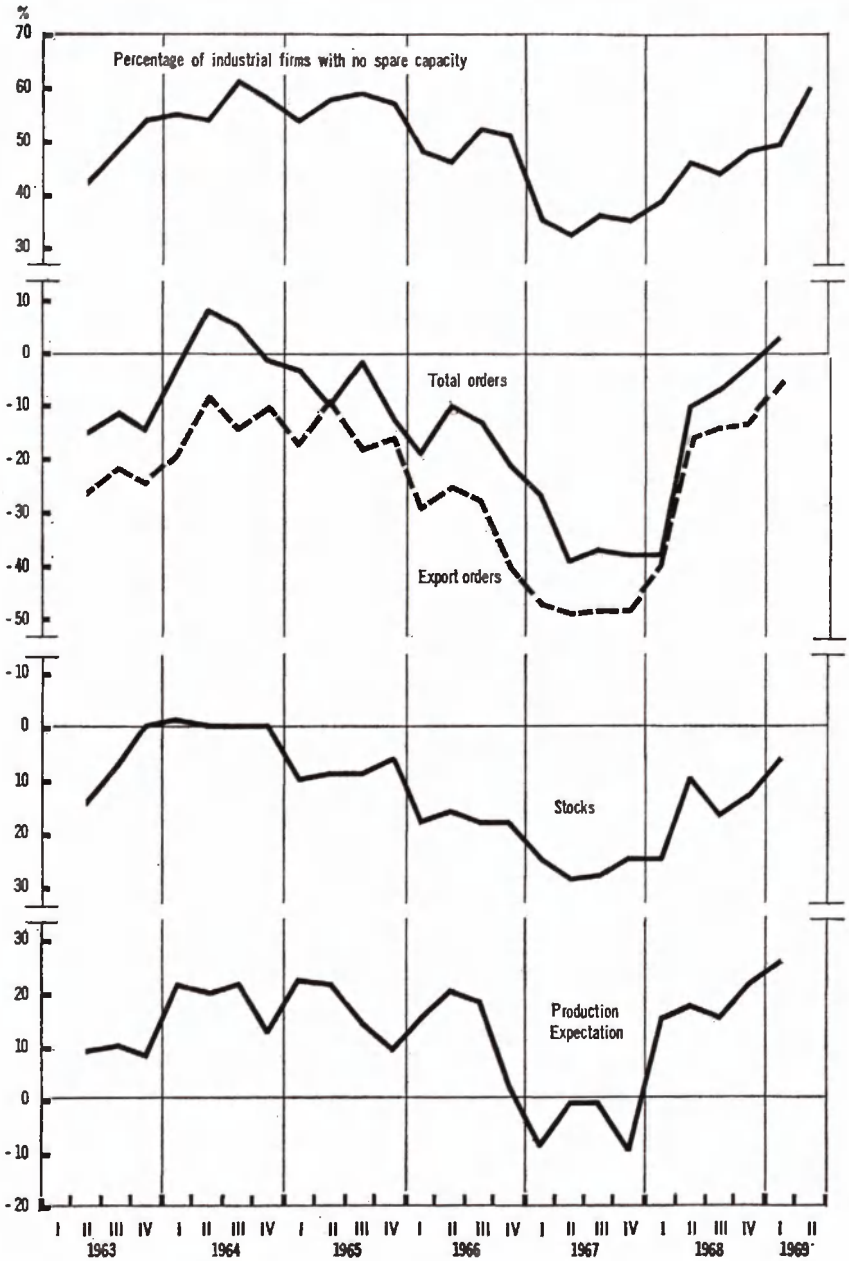
(*vi*) An Act on Structural Improvements which was passed in January grants temporary tax privileges to encourage company mergers and provide tax exemptions for loans provided by consortia.

IV PROSPECTS

The recovery which began in 1968 should continue at a high rate in 1969, further stimulated by fast increasing exports. Fixed investment is likely to remain an important growth factor, and the rise in consumers' expenditure should accelerate as a result of higher employment and earnings. Real GNP may increase by some 5½ per cent.

1 Most of these measures were taken within the context of the so-called Koren-Plan for the co-ordination of conjunctural and structural policies.

Diagram 5 **Industry Test-Balances of Expectations**



Source: Austrian Institute for Economic Research.

Table 16 **Demand Prospects for 1969**
Percentage change in volume

	Sch. bill. 1968	on previous year 1968	1969
Consumers' expenditure	175.2	3.6	4½
Government current expenditure	44.8	3.5	3½
Gross fixed investment	69.5	—1.2	10
of which :			
Construction	(36.2)	—3.5	4
Machinery and equipment	(33.3)	0.7	15
Final domestic demand	289.5	2.4	6
Change in stocks	9.3	1.4	—
Total domestic demand	298.8	3.8	6
Exports	78.1	10.0	10½
Imports	81.8	8.3	10
Change in foreign balance[1]	—3.7	0.2	—½
GNP	295.1	4.0	5½

1 As per cent of GNP in previous period.
Source : Secretariat estimates.

The November 1968 Survey carried out by the Austrian Institute for Economic Research suggests that fixed investment by industry may rise by as much as 27 per cent in value in 1969. The strong increase is heavily influenced by large oil-refinery and pipeline projects and other special projects, but even if these are excluded, the increase over 1968 would be some 9 per cent. The large investment plans may reflect the increase in profit margins in 1968, higher rates of capacity utilisation (87 per cent in November, 1968 against 83 per cent in November, 1967), a more buoyant order-inflow, and the general expectation of strong growth of demand in 1969. The introduction of the temporary surcharge on personal and corporate Income tax on January 1st 1969 may also have provided some stimulus to business fixed investment. The surcharge increased the importance of depreciation allowances and seems to have acted as an incentive to postpone investment expenditure from 1968 to 1969. However, with the disappearance of the contingency budget, Federal investment may not rise further. Considerable uncertainty is attached to the prospects for construction activity. Housing demand may still be sluggish and total construction activity may therefore do little more than return to its 1967 level. This suggests that a considerable amount of slack may remain in the construction sector. In spite of the fairly sharp increase in machinery and equipment investment, the growth rate of total gross fixed investment may not exceed 8 per cent in real terms.

Private consumption is likely to show a steep increase during 1969. Total employment is on an upward trend for the first time in some years (see Diagram 2 above). Wage increases during 1968 were moderate. The trend should steepen in coming months with important contracts due for renewal by about mid-year. Total wages and salaries may show an increase approaching 9 per cent against 6 per cent in 1968. But real income of households will be affected by major increases in indirect taxation, and with consumer prices rising by some 3 per cent, consumers' expenditure is expected to grow by some 5 per cent in volume. The rate of increase in the second half, after the current round of wage negotiations, is likely to be higher than in the first half of the year.

Commodity exports will remain a strong expansionary force in 1969. Austria's main foreign markets seem likely to grow by some 14 per cent. Given Austria's export performance during the 1960's it may be prudent to assume a loss of market shares, although the loss may not be very significant because of the improved commodity structure of exports, Austria's good export performance in the recent past, and its success in holding costs and prices stable.

Imports may rise relatively fast, given the advance in aggregate demand and the stronger pressure on resources. Nonetheless, the current external deficit may be only slightly higher than in 1968. As already noted, exports seem likely to remain buoyant, and net invisible receipts, notably tourist earnings, should increase significantly, influenced by the strong upward trend in consumer income in neighbouring countries. In the first quarter, gross income from foreign travel in Austria was 19 per cent higher than a year earlier, reflecting considerable success in attracting holidaymakers for winter sports. Although the traditional summer season may see less growth, the year as a whole should show a marked increase in receipts from foreign travel. Rising consumers' expenditure and a sharp increase in business investment will produce a steep upturn in commodity imports in the second half of the year. The growth of commodity exports may, however, begin to be affected by capacity limitations. With the tourist balance also less favourable, the trend towards increasing current account deficit may strengthen in the second half of 1969 and the first half of 1970.

V CONCLUSIONS

Stimulated by high levels of demand in OECD countries, economic activity in Austria turned up strongly in the course of 1968 and the rapid

growth has continued into 1969. The increase in Austrian exports has been facilitated by a relatively favourable development of costs and prices and the availability of spare capacity after the slowdown of the expansion in 1967. Government policy, notably the contingency budget, also stimulated the recovery of activity in 1968, but has since become less expansionary. The upturn seems to have strengthened business confidence and resulted in desirable recovery in industrial fixed investment, which had been stagnating or falling for a long time.

Prospects for continued growth in the months ahead would also seem favourable, given notably the buoyant outlook for exports and fixed investment. Neither the balance of payments nor trends in costs and prices should represent any immediate constraint on economic growth. However, the situation may change towards the end of the year. By that time the existing slack in the economy may have been taken up and the growth of imports may tend to accelerate. And with a possible slowdown of the rise in exports, the deficit on current account may rise strongly to some 1-2 per cent of GNP. Given the comfortable reserve position and the need for a high rate of investment for structural readjustment, it may not be inappropriate for Austria to run a current balance of payments deficit of this magnitude, at least for some time. But it may not be desirable to let the deficit grow much further. The change in demand management policy towards restraint which has already been effected would therefore seem appropriate. It may be too early to judge whether further measures will be needed, but it must be an important objective of demand management policy to avoid a rise in demand which put too much pressure on the foreign balance.

It is also important that the rise in costs and prices should be kept within narrow limits. The performance in the last two years has been good. But unit labour costs rose rather fast during the earlier part of the 1960's, and there may not be much scope for a relative rise in Austrian costs without endangering the balance of payments, given the favourable cost trends in the last two years in some neighbouring countries, notably Germany and Italy, and given the devaluation of pound sterling and other currencies in November 1967. Experience suggests that the maintenance of an appropriate level of demand although essential, may not be sufficient to ensure the degree of price stability which would seem desirable. Strong efforts in the field of incomes policy would seem to be needed to maintain or improve the competitive position of Austrian industry.

The re-structuring of Austrian industry remains a basic target of economic policy. Present legislation, strengthened last year to handle structural problems both in the public and private sector, would seem to give the Government the necessary policy instruments to achieve a better allocation of fixed investment, savings and labour. In implementing this legislation

the Government may wish to use public savings to encourage a better allocation of investment resources and, at the same time, make efforts to broaden the domestic capital market, particularly with a view to increasing the availability of long-term risk capital and creating greater possibilities for more flexible Government debt management.

STATISTICAL ANNEX

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Table A **National Product**
Bill. Schilling

	1965	1966	1967	1968	1965	1966	1967	1968
	Current prices				*1954 prices*			
EXPENDITURE:								
Private consumption	145.4	155.2	165.3	175.2	110.0	115.0	118.7	123.0
Public consumption	32.6	36.3	41.1	44.8	15.9	16.4	17.1	17.8
of which : Defence	3.0	3.5	3.6	..	..	..	..	..
Gross domestic fixed capital formation	62.0	68.5	69.8	69.5	41.2	44.2	44.1	43.6
of which : Construction	32.2	35.6	36.9	36.2	18.6	19.8	20.1	19.4
Machinery and equipment	29.8	32.9	32.9	33.3	22.6	24.3	24.0	24.2
Change of stocks, incl. statistical errors	3.8	9.0	8.2	9.3	3.3	6.4	4.9	7.5
Exports of goods and services	62.2	66.0	70.3	78.1	50.6	52.7	55.7	61.4
Less : Imports of goods and services	64.6	72.9	75.0	81.8	57.5	63.5	64.2	69.5
Gross national product at market prices	241.2	262.1	279.1	295.1	163.5	171.3	176.5	183.8
ORIGIN BY SECTOR:								
Agriculture, forestry and fishing	19.2	20.2	22.1	20.9	15.0	15.3	17.8	17.8
Manufacturing, mining and public utilities	90.1	97.1	100.4	107.6	68.6	72.0	72.5	77.2
Construction	26.0	28.9	29.9	29.8	13.0	13.8	14.0	13.5
Other	105.9	115.9	126.7	136.8	66.9	70.2	72.2	75.3
	Current prices				*Current prices, percentage distribution*			
DISTRIBUTION OF THE NATIONAL INCOME:								
Compensation of employees	118.4	130.6	141.5	150.2	65.2	66.8	67.3	68.6
Income from property and entrepreneurship	51.3	53.4	56.2		27.7	26.4	26.7	
Savings of corporations	7.7	7.9	7.7	69.7	4.3	4.2	3.7	31.8
Direct taxes on corporations	5.4	5.6	5.3		3.0	2.9	2.5	
Government income from property and entrepreneurship	1.7	1.9	2.0	2.2	0.9	0.9	1.0	1.0
Less : Income on public debt	2.1	2.2	2.4	3.2	1.1	1.1	1.1	1.5
National income	182.4	197.3	210.3	218.9	100.0	100.0	100.0	100.0

Source : Austrian Central Statistical Office, Austrian Institute for Economic Research.

Table B **Output, Employment, Wages and Productivity in Industry**
Indices 1963 = 100

	1965	1966	1967	1968	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV	1969 I
OUTPUT IN INDUSTRY (seasonally adjusted)													
Total industry	111.9	116.5	116.5	124.1	115.8	117.6	116.1	117.3	119.7	124.7	127.2	125.5	131.3
Mining	91.2	89.7	81.7	78.2	82.3	82.3	84.1	78.4	76.0	80.4	80.3	76.1	
Manufacturing	111.6	116.0	116.0	124.1	115.1	116.6	115.3	117.1	119.1	124.0	127.5	125.0	
Base metals	107.2	110.5	103.5	116.5	104.6	103.6	101.5	104.5	110.1	114.3	118.7	122.9	
Metal products	112.2	112.4	112.5	120.1	110.2	114.3	110.2	115.6	113.7	117.8	123.8	124.4	
Food, beverages, tobacco	104.2	115.1	116.8	117.4	113.5	120.1	120.8	114.5	113.8	122.7	124.2	110.3	
Textiles	106.7	111.8	108.6	112.6	111.2	109.6	106.2	107.8	109.4	113.9	111.9	115.0	
Chemicals	118.1	126.5	132.9	146.5	130.7	132.6	133.3	136.6	143.4	146.6	150.0	147.2	
EMPLOYMENT:													
Seasonally adjusted	100.0	99.3	96.0	94.3	97.9	96.5	94.8	94.0	94.5	94.5	93.8	94.6	
Not seasonally adjusted ('000)	606.9	603.3	583.1	573.2	590.5	583.5	580.0	578.6	567.3	568.4	575.0	582.0	
of which: wage earners ('000)	490.9	483.0	461.3	451.5	429.4	462.1	458.3	456.2	445.9	447.5	453.3	459.1	
WAGES AND PRODUCTIVITY													
Gross hourly earnings per wage earner (1965 = 100)	100.0	109.4	117.5	124.4	115.7	117.4	118.1	118.7	121.1	124.4	125.6	126.3	
Gross monthly earnings per employee	118.9	133.2	143.4	152.8	127.2	140.8	144.3	161.1	136.0	151.1	154.0	167.0	
Output per employee	111.9	117.3	121.4	131.8	114.7	125.3	115.9	130.3	123.4	136.4	128.1	138.6	
Wages and salaries per unit of output	106.3	113.6	118.1	115.9	111.1	112.5	124.7	123.7	110.1	110.8	120.1	122.6	

Source : Main Economic Indicators, OECD; Austrian Institute for Economic Research.

Table C **Retail Sales and Prices**
Indices 1958 = 100

	1965	1966	1967	1968	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV	1968 I
RETAIL SALES:													
Total	171.0	179.5	187.7	195.8	164.0	176.7	184.4	225.5	169.9	184.8	193.5	235.0	173.9
Non-durables	170.1	177.7	186.1	193.5	165.0	177.0	183.5	219.0	170.1	184.1	191.2	227.9	173.9
of which : Food and drinks	175.0	183.2	192.7	198.4	175.9	190.1	193.2	211.6	179.6	194.1	201.3	218.5	182.2
Clothing	150.6	156.2	160.8	167.6	131.1	146.4	145.4	220.4	134.1	157.5	151.8	227.1	134.3
Durables	176.0	190.8	197.3	210.2	158.8	175.6	189.8	264.9	168.8	190.0	204.4	277.7	173.5
of which : Household goods and furniture	171.5	185.5	190.4	202.8	149.4	172.1	182.9	257.3	161.3	183.3	196.9	269.7	164.3
PRICES:													
Cost of living	124.7	127.4	132.5	136.2	131.3	131.6	132.9	134.0	134.7	135.2	136.6	138.1	138.7
Food, drinks, tobacco	126.9	128.5	133.4	134.9	132.5	132.7	134.3	133.8	133.8	133.0	135.3	137.5	137.4
Other	122.1	126.1	132.0	137.1	130.7	130.9	132.2	134.1	135.3	136.7	137.3	138.6	139.6
Wholesale prices (1964 = 100)	102.6	104.6	107.1	108.1	106.8	107.6	107.3	106.7	107.5	108.0	108.0	108.6	109.4
Raw materials and semi-manufactures	101.7	105.4	104.9	105.9	105.6	104.5	104.4	105.0	106.0	105.5	105.5	106.7	108.0
Finished manufactures	101.7	103.8	105.5	107.7	105.1	104.8	105.9	106.1	107.1	107.7	107.8	108.1	108.7
Building prices (in Vienna)	143.4	149.7	160.0	168.2	159.0	160.3	160.4	160.4	163.1	169.4	170.3	169.8	169.3
Labour	168.1	177.2	194.9	209.8	190.3	196.4	196.6	196.5	201.9	212.3	212.5	212.5	212.5
Building materials	120.8	124.6	128.3	130.4	130.5	127.6	127.5	127.5	127.8	130.5	131.9	131.1	130.0

Source : Österreichisches Institut für Wirtschaftsforschung.

Table D **Money and Banking**[1]
End of Period

	1965	1966	1967 I	1967 II	1967 III	1967 IV	1968 I	1968 II	1968 III	1968 IV	1969 I
INTEREST RATES (per cent):											
Discount rate	4.5	4.5	4.5	4.25	4.25	3.75	3.75	3.75	3.75	3.75	3.75
Average bond yield	6.6	7.0	7.1	7.1	7.1	7.5	7.7	7.7	7.6	7.4	7.4
MONEY CIRCULATION AND EXTERNAL RESERVES (Sch. bill.):											
Notes and coin in circulation	29.8	32.0	31.1	33.6	33.5	33.8	32.1	35.4	34.6	35.3	34.2
Sight Liabilities of the National Bank	11.5	11.8	13.2	12.4	12.5	13.5	12.8	12.5	13.9	12.5	13.4
Gross external reserves of the National Bank	32.1	31.8	31.9	32.7	34.1	35.4	32.9	34.6	35.6	35.0	33.8
of wich: gold	18.0	18.1	18.1	18.1	18.1	18.1	18.1	18.4	18.4	18.4	18.4
CREDIT INSTITUTIONS (Sch. bill.):											
Credits to domestic non-banks	89.0	103.9		109.7		113.1		117.9		125.4	
Short-term	33.5	38.4		40.2		39.6		41.1		42.6	
Medium-term (1 to 5 years)	18.1	21.8		23.4		23.7		25.0		26.8	
Long-term	37.5	43.3		46.1		50.0		51.7		56.0	
Deposits from domestic non-banks	103.1	114.2	117.5	118.9	123.2	126.4	129.1	131.2	136.2	140.4	145.7
Sight	23.5	23.7	23.8	24.0	25.6	25.7	25.3	26.4	29.3	28.4	29.1
Time	11.1	12.0	12.6	12.8	13.1	13.1	13.8	14.0	14.3	13.8	14.7
Savings	68.5	78.5	81.0	82.1	84.5	87.6	89.9	90.9	92.6	98.2	101.9
Holdings of domestic Treasury bills	3.3	2.7	3.2	3.0	3.7	3.8	5.2	4.8	5.6	4.5	6.2
Holdings of other domestic securities	19.3	21.4	21.2	21.8	21.9	22.9	23.0	24.0	24.4	24.5	24.7
Foreign assets	5.8	7.3	7.3	8.3	10.2	10.5	11.4	10.2	11.9	12.6	14.6
Foreign liabilities	7.3	8.9	8.8	9.6	8.7	11.2	8.6	7.5	6.3	9.4	8.3

1 Totals may not add due to rounding.
2 Average effective yields on circulating issues.
Sources: Österreichische Nationalbank. Österreichische Länderbank.

Table E **The Federal Budget**
Administrative basis
Sch. billion

	Closed Account 1966	Closed Account 1967	Provisional Results 1968[2]	Voted Budget 1966	Voted Budget 1967[1]	Voted Budget 1968[2]	Voted Budget 1969
REVENUE:							
Taxes and dues	38.8	39.3	43.9	39.0	41.7	43.5	48.9
Other similar levies	7.8	8.6	9.0	7.6	8.5	9.3	9.8
Income from Federal Monopolies and enterprises	15.6	17.3	17.4	15.8	18.1	17.8	18.7
Transfers from abroad	0.6	0.2	0.1	0.6	0.1	0.1	0.1
Withdrawals from reserves set aside in previous years	0.5	0.4	0.4	—	—	—	0.6
Other	5.3	6.5	7.0	5.3	6.6	6.9	7.4
Total	68.6	72.3	77.8	68.3	75.0	77.6	85.5
EXPENDITURE:							
Wages and salaries	18.3	20.9	22.1	18.5	20.0	22.3	25.2
Subsidies and transfers	25.5	27.6	30.3	25.5	26.8	29.2	31.6
Gross investment	7.6	9.4	9.5	7.3	9.3	9.6	9.9
Investment promotion	1.9	2.1	2.2	1.6	2.2	2.2	2.1
Debt repayment	2.7	2.7	3.2	2.5	3.2	3.4	5.4
Purchases in and payments to abroad	0.8	0.9	1.2	0.4	0.8	1.0	1.6
Transfers to reserves	0.4	0.6	0.5	..	..	..	..
Other	15.1	15.9	17.2	15.0	16.4	18.1	17.7
Total	72.3	80.1	86.2	70.8	78.7	85.8	93.5
Overall deficit	3.7	7.8	8.4	2.5	3.7	8.2	8.0
Deficit excluding debt repayment	1.0	5.1	5.2	..	0.5	4.8	2.6
Deficit excluding transactions not directly affecting domestic demand	0.9	4.2	4.0	0.2	—0.2	3.9	1.7

1 In the sense of 1. Bundesfinanzgesetznovelle 1967, BGB1.Nr. 80.
2 Including 50 % of the Contingency Budget.
Source: Bundesfinanzministerium.

Table F **Merchandise Trade by Commodity Group and Area**
Monthly averages, million Schillings

	Imports				Exports			
	1965	1966	1967	1968	1965	1966	1967	1968
Total	4 551	5 043	5 004	5 408	3 467	3 647	3 919	4 309
By Commodity Group:								
Food, drinks, tobacco	622	646	577	559	182	166	222	198
Raw materials	493	518	473	528	454	440	428	472
Mineral fuels, energy	335	355	349	405	113	123	123	127
Chemicals	394	443	490	564	167	196	231	274
Machinery and transport equipment	1 393	1 563	1 556	1 612	706	736	827	931
Other	1 314	1 517	1 559	1 742	1 843	1 987	2 088	2 307
By Area:								
OECD countries	3 670	4 092	4 113	4 391	2 503	2 645	2 766	3 103
EEC countries	2 694	2 964	2 929	3 103	1 618	1 627	1 595	1 737
Germany	1 901	2 139	2 085	2 240	992	976	870	1 008
Italy	376	381	393	388	373	393	465	444
France	190	207	202	212	77	80	88	98
EFTA countries[1]	679	803	914	995	636	735	881	1 021
UK	249	289	301	333	135	154	218	273
Switzerland	252	302	366	405	259	296	339	396
USA	200	219	175	181	145	167	168	199
Other OECD countries	97	106	95	112	104	116	122	146
Non-OECD countries	881	950	891	1 019	964	1 002	1 151	1 206
Eastern Europe[2]	490	483	453	528	530	563	636	638
Africa	96	90	84	114	86	88	95	98
Latin America	121	137	119	137	55	57	62	59
Far and Middle East	72	80	75	91	152	142	146	166
Other	102	160	160	149	141	152	212	245
Index of volume (1961 = 100)	148	162	164	185	136	145	157	180
Index of average value (1961 = 100)	141	157	156	168	133	140	150	165

1 Including Finland.
2 Excluding Yugoslavia.
Source : Statistics of Foreign Trade, OECD, Austrian Institute for Economic Research.

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